

The world in brief

Catch up quickly on the global stories that matter



Photograph: AFP via Getty Images

Donald Trump claimed to have reached a “great settlement” with **Iran**, meaning Iran would never have a nuclear weapon. A deal would be signed quickly, “maybe in Europe”, he said. Iran’s foreign ministry called that “speculative”. A memorandum had been mostly finalised, it said, but “excessive” American demands remained a sticking point. The office of Binyamin Netanyahu said Israel’s prime minister had spoken with Mr Trump, but that Israel was not party to any agreement.

SpaceX raised \$75bn in the world’s biggest initial public offering. Elon Musk’s [rocketry and AI firm](#) sold 555.6m shares at \$135 each, valuing the company at \$1.8trn. The shares will begin trading on the Nasdaq on Friday. OpenAI and Anthropic have also filed for IPOs, which are sure to be similarly massive; those could list publicly later this year.

The **World Bank** cut its forecast for global **economic growth** in 2026 to 2.5%, down from a previous projection of 2.6%, largely because of the war in Iran. It warned that growth could slow further if disruptions to energy supply continue. Meanwhile the Asian Development Bank said 15 countries had asked it for emergency loans as they struggle with [fuel shortages](#).

Sir Keir Starmer appointed Dan Jarvis as **Britain's defence secretary**, hours after [John Healey resigned](#) from the position. Mr Healey said that a planned increase in defence spending would fall “well short” of what the armed forces require. Al Carns, the armed forces minister, also quit. The resignations are further blows to the authority of Sir Keir, Britain's beleaguered prime minister.

Mr Trump nominated **Jay Clayton**, one of New York's top federal prosecutors, to be the next **Director of National Intelligence**. A former chairman of the Securities and Exchange Commission, he is more likely to be confirmed than Bill Pulte, the agency's [strikingly unqualified](#) acting director, whom Mr Trump previously defended appointing. Congress has protested against Mr Pulte by refusing to reauthorise the Foreign Intelligence Surveillance Act.

The **European Central Bank** raised **interest rates** from 2% to 2.25% in an effort to tame inflation stoked by the Iran war. The euro zone's annual inflation rate was 3.2% in May, up from 3% in April and above the ECB's 2% target for the third consecutive month. The bank also cut its growth forecast for 2026 and 2027 because of the expected impact of the war.

Mexico beat South Africa 2-0 in the opening game of the men's **World Cup**. More than 80,000 fans watched in the Azteca stadium. In the day's other game, South Korea beat the Czech Republic 2-1 in Guadalajara. Nearly half the world is [expected](#) to tune in over the coming weeks. Our analysis suggests the tournament will be [the most expensive](#) cultural event ever.

Figure of the day: 1,568 days, the length of the war in Ukraine as of June 11th, exceeding that of the first world war. [Read about the lessons that earlier conflict holds.](#)



Photograph: Getty Images

SpaceX's astronomical lift-off

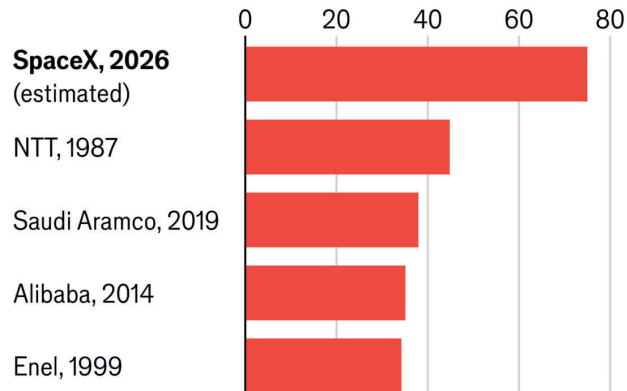
SpaceX will launch the largest-ever initial public offering on Friday. It could value the space colossus at \$1.8trn, making Elon Musk, its founder and boss of Tesla, the world's first trillionaire. SpaceX hopes to raise \$75bn, though [demand from Wall Street](#) may well exceed that amount. Mr Musk's army of retail-investor loyalists will also receive a big allocation of shares. SpaceX's low-cost launch business supports its thriving satellite unit, Starlink, which provided about 60% of the company's revenues last year. Mr Musk's pitch to investors is that it will become far bigger by running constellations of data centres in orbit, supporting xAI, his AI lab.

Sceptics counter that orbital data centres, and the giant Starship rockets needed to deliver them, are nascent technologies. xAI is burning through cash and is a vanity project for Mr Musk, who controls the board. Stock markets are jumpy given the war in Iran and rising inflation. Brace for a wild ride.

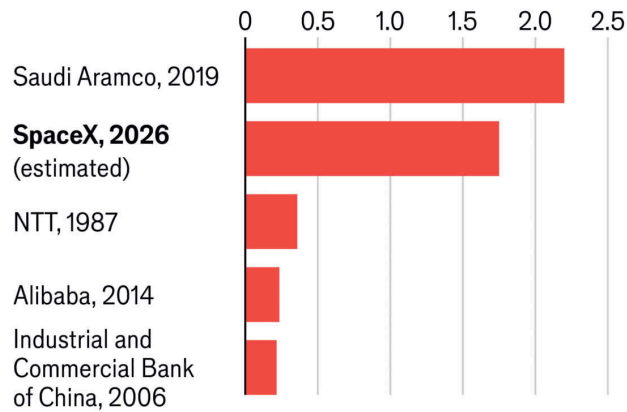
Stratospheric

Largest IPOs, 2026 prices

By capital raised, \$bn



By valuation, \$trn



Sources: Bloomberg; press reports



Photograph: Getty Images

Britain's defence-spending woes

On Thursday Britain's defence secretary, John Healey, resigned. He said that the government's planned increase in defence spending fell "well short" of what the armed forces need. Mr Healey cited the latest draft of the defence investment plan, a long-delayed document setting out spending on weapons and other technologies over the next decade. The prime minister, Sir Keir Starmer, reportedly offered £13.5bn (\$18bn) more for defence over the next four years, well below Mr Healey's demand of £18bn (and less than half of the £28bn said to be needed to fulfil the vision of last year's strategic defence review).

The shortfall is embarrassing for Britain as allies race to rearm in the face of Russian aggression and a bolshy America. It is also a sign of Sir Keir's waning political authority. He faces the prospect of a [leadership challenge](#), possibly as soon as this month. Accusations that he is failing to protect the country give his critics more ammunition.



Photograph: Reuters

Turning out the lights on America's spies

The job of American spies might be about to get harder. American intelligence agencies have long relied on Section 702 of the Foreign Intelligence Surveillance Act to compel companies to hand over data on people of interest located abroad. FISA 702 is now up for renewal. If Congress does not agree to extend it by Friday, the provision will lapse.

Civil libertarians dislike the measure because of its broad powers, the increasing scope of companies covered by it and the ability of the FBI to query the database. Moreover, Congress is furious that Donald Trump has appointed [Bill Pulte](#) (pictured), an unqualified loyalist, to oversee all American intelligence agencies. On Thursday the president instead nominated Jay Clayton, a former chairman of the Securities and Exchange Commission, for the job—but his concession may have come too late. A stop-gap package is possible and even if no agreement is reached, some pre-authorised intelligence collection will continue until next spring. But America's spies could then be in the dark.



Photograph: Getty Images

The legacy of a great composer

This year's edition of Aldeburgh Festival, which begins on Friday, takes place 50 years after the death of its co-founder, [Benjamin Britten](#) (pictured) perhaps the greatest recent British composer. He was a master of opera ("Peter Grimes"), choral music (the "War Requiem") and song ("Serenade for Tenor, Horn and Strings"). The tenor in the first performances of many of Britten's works was Peter Pears, his life partner, another Aldeburgh co-founder. Though recognisably modern, Britten's music largely shuns the atonal language that was fashionable in his day.

The festival, centred at a Victorian maltings in Suffolk, will have plenty of Britten and much else, including semi-staged performances of Claude Debussy's opera, "Pelléas et Mélisande", and a recital of Schubert lieder by [Lise Davidsen](#), a superstar soprano, and James Baillieu, a pianist. Fittingly for an event that commemorates the composer of "The Young Person's Guide to the Orchestra", there's a new academy that will present masterclasses for and performances by young musicians.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Friday: Which American city has the busiest airport in the world, in terms of passenger traffic?

Thursday: What is the capital of the Mexican state of Jalisco?

*The final forming of a person's
character lies in their own hands.*

Anne Frank